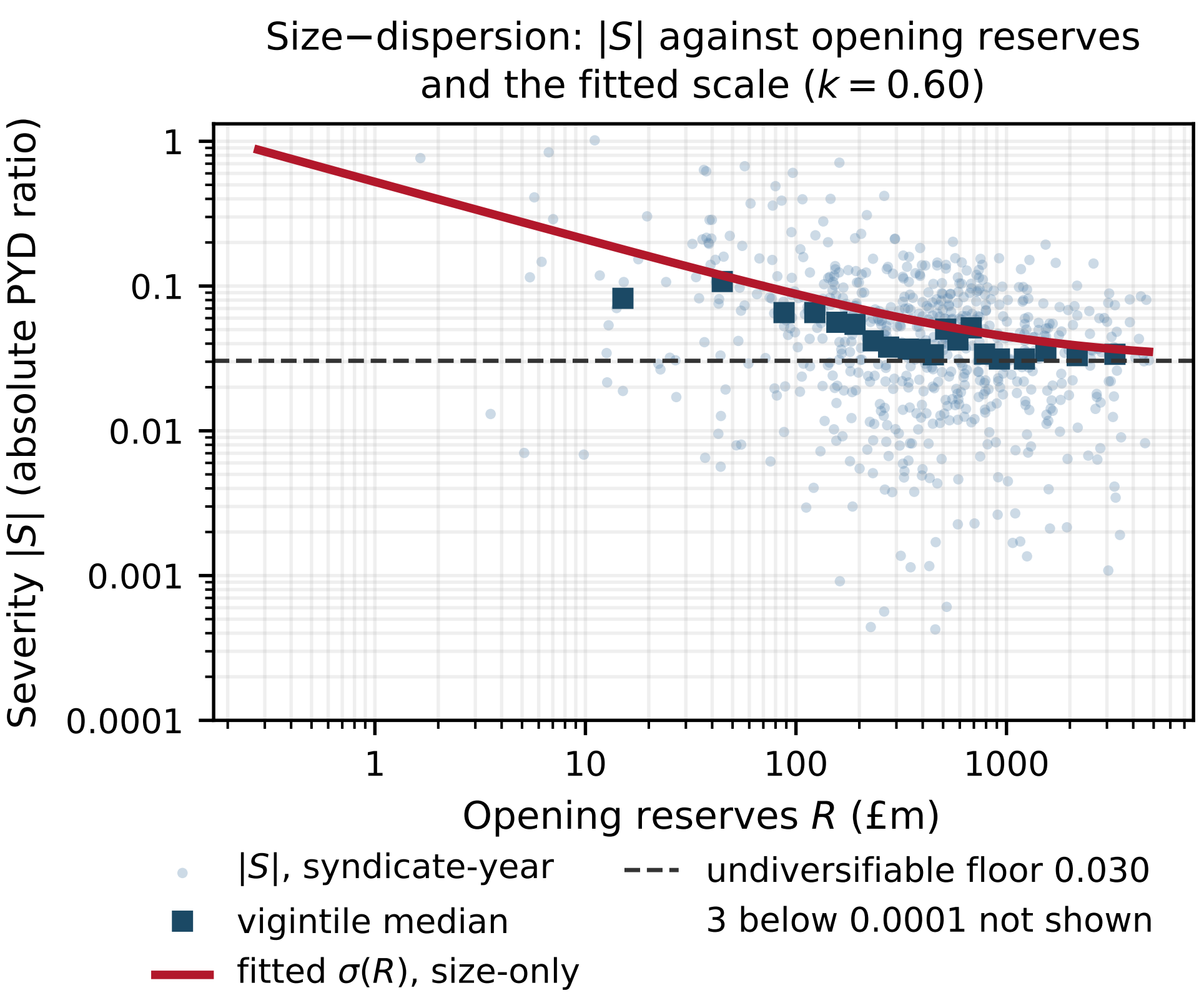
Size−dispersion: |S| against opening reserves
and the fitted scale (k = 0.60)
Severity |S| (absolute PYD ratio)
1
0.1
0.01
0.001
0.0001
1
10
100
1000
Opening reserves R (£m)
|S|, syndicate-year
vigintile median
fitted σ(R), size-only
undiversifiable floor 0.030
3 below 0.0001 not shown